

[Suraj]

So basically, we are trying to identify money laundering that happens in banks and through transactions. Our purpose is to understand and suggest improvements because no existing system completely addresses it.

[Navyasri]

Yeah. What are the different types of money laundering that happen?

[Mr. Pavan]

What are the different ways people use it? Normally, money laundering is all about customer awareness and how much people allow others access to their financial information. Financial matters are private things, actually.

[Suraj]

Yes, yes.

[Mr. Pavan]

For example, I am an individual. How much I allow other people to know about my financial details matters.

And the sad part is that educated people are the ones getting trapped most often.

[Navyasri]

Is it done through threatening?

[Mr. Pavan]

Not threatening. Suppose I'm busy in meetings or professional work, and suddenly somebody calls saying:

"Your KYC is pending," or "Your profile needs updating."

Then they say:

"I'm sending you an application, can you kindly share your account details or OTP?"

Educated people easily fall for this.

An uneducated or illiterate person may not even remember their Aadhaar number or PAN number. But educated people usually know all their

details by heart, so when someone asks suddenly during a busy moment, they tend to share them.

We call these “icebreakers” in banking terminology.

[Navyasri]
Icebreakers?

[Mr. Pavan]
Yes. It means they use something like:

- PAN details missing
- Aadhaar pending
- Email not updated
- Date of birth mismatch

These are used to start the conversation and gain trust.

Most educated people lose huge amounts - 30 lakhs, 40 lakhs - just by sharing an OTP, PAN, or Aadhaar details.

I’ve seen people crying in branches after losing money.

The important thing is: whenever someone asks for financial details, we should question them first.

[Suraj]
Yes, exactly.

[Mr. Pavan]
Ask:
“Why do you need this information? Everything is already updated.”
Nowadays, educated people prefer digital banking and avoid traditional banking methods.

[Suraj]
Coming to the branch.

[Mr. Pavan]
Exactly. Coming to the branch and doing paperwork is actually the safest and most accurate method.
After smartphones and online banking became common, scams became easier.
Everything is private. People should be careful.

[Suraj]

Actually sir, we thought money laundering mainly involved transferring illegal money through multiple accounts, bundling attacks, and similar activities.

[Navyasri]

We wanted more clarity on how money laundering actually happens on the ground. We can research online, but speaking to you directly helps us understand better.

[Mr. Pavan]

That's what - I can share my experience.

Suppose you are a businessperson but have some black money that you want to portray as legal white money.

[Navyasri]

As white money.

[Mr. Pavan]

Yes. But you don't have legal proof showing where you earned it from. So what happens is, you approach friends or relatives. You open multiple current accounts or savings accounts in different names and deposit the money into those accounts.

There are limits for every account category.

For example:

- Some accounts allow 50 lakhs per day
- Some allow 1 crore per day
- Some have monthly limits

These limits depend on:

- business type
- turnover
- profit
- account usage

If someone exceeds normal limits, it becomes suspicious.

As bankers, we question:

- Why are multiple deposits happening?
- Why are there multiple outgoing transactions?

- What is the source of income?

If you cannot explain the source, we can freeze the account.

There are three types of freezes:

- Debit freeze → money cannot go out
- Credit freeze → money cannot come in
- Total freeze → no incoming or outgoing transactions

Branches have authority to apply these freezes.

[Mr. Pavan]

Recently, I got a case where a customer had a savings account limit of ₹10,000 but was handling business turnovers of 2-3 crores.

All business transactions were routed through that savings account.

Banks will immediately question such activity.

If the customer fails to provide valid proof for the source of money, it becomes suspicious.

Now, if the money comes from:

- legal business → positive/legal source
- online betting, gambling, gaming → negative/illegal source

That becomes a problem.

Money earned through online betting or gambling cannot legally be routed through regular banking transactions.

[Mr. Pavan]

Another example:

Suppose someone needs ₹50 lakhs, but based on income eligibility, banks can only provide ₹10 lakhs.

What some people do is apply for loans simultaneously across 4–5 banks.

If all banks approve at the same time:

- one gives ₹5 lakhs
- another gives ₹10 lakhs
- another gives ₹15 lakhs

Together, they achieve the amount they wanted.

That is also a form of misuse.

[Navyasri]

We didn't know this actually.

[Mr. Pavan]

It happens often.

If background verification fails, it becomes a banking issue.

Nowadays everything is digitally evaluated, which makes misuse easier in some cases.

All these examples are real incidents I personally saw while working in banks.

[Mr. Pavan]

Another example is credit cards.

Some people take multiple credit cards, fully use the limits, and then abandon the cards without repayment.

That damages their CIBIL score.

Good financial behaviour is important because:

- jobs
- loans
- banking opportunities

all depend on proper financial records.

[Navyasri]

We also wanted to know about the software used to identify suspicious transactions.

[Mr. Pavan]

Normally we use a software called Finacle.

Finacle

It is used for:

- debit and credit operations
- money transfers
- salary processing
- RTGS
- NEFT
- IMPS
- FD creation and cancellation
- DD processing

Basically, it handles most banking operations.

[Navyasri]

So how do banks identify anomalous transactions?

[Mr. Pavan]

The first thing we look for is:

- multiple credits
- multiple debits
- immediate incoming and outgoing transactions within 1-2 days

Even if transactions seem healthy, we ask customers for explanations.

We check:

- source of income
- business background
- why money is immediately moved out

[Suraj]

So this process is mostly manual?

[Mr. Pavan]

Yes. Backend departments monitor transactions and send alerts or reports to branches.

There isn't fully automated AI detection in many cases yet.

[Mr. Pavan]

In Kotak, there was something called the 811 account. It was launched around demonetization on November 8.

During COVID, many people opened these online accounts because physical branch visits were restricted.

These accounts had transaction limits.

But we used to get multiple suspicious transaction cases through these accounts regularly.

[Mr. Pavan]

One more example:

Suppose in 2020, I swiped my card at a restaurant. Later, that merchant's account became involved in suspicious activity.

Even though my transaction was legitimate, the amount I spent could get marked under "lien."

A lien means:

- the money is visible in your account

- but you cannot use it temporarily

Until the investigation clears.

So blindly scanning QR codes or making transactions everywhere can also become risky.

[Navyasri]

So transactions are a major indicator for identifying money laundering.

What other aspects do banks look at?

[Mr. Pavan]

Customer behaviour also matters.

Suppose someone behaves suspiciously in the branch. Then we review:

- their transaction history
- business background
- money flow patterns

But generally, branches receive alerts from backend monitoring teams.

[Navyasri]

How do backend teams identify suspicious sources?

[Mr. Pavan]

Certain transaction sources are blacklisted.

If money comes from:

- gambling
- betting
- illegal gaming platforms

those transactions get flagged.

Bank accounts are meant for legal white money transactions.

If blacklisted money enters the account, it directly affects the customer.

[Navyasri]

What if the source is not yet blacklisted?

[Mr. Pavan]

Then we question the customer directly.

The customer must provide:

- proper explanation
- supporting documents

- valid income proof

Failure to provide these can even lead to bankruptcy-related consequences.

[Navyasri]

There's one more thing we came across - funneling and circular transactions.

[Mr. Pavan]

Yes. Circular transactions mean money keeps circulating among connected accounts.

For example:

$A \rightarrow B \rightarrow C \rightarrow \text{back to } A$.

Usually family members or connected groups are involved.

If banks identify one account in the group, they can trace the entire transaction chain.

Funneling means distributing money across multiple accounts without proper financial justification.

Currently, these are mostly identified manually.

[Navyasri]

Which type is more common?

[Mr. Pavan]

Still, banks have not fully implemented AI-based adaptable systems for detecting all these activities automatically.